

subject to the certain conditions, impose an appropriate sanction upon the attorneys, law firm, or parties that have violated Section 128.7(b) or are responsible for the violation. (Code Civ. Proc., § 128.7, subd. (c).) The determination of violation is made under an objective standard. (*Bockrath v. Aldrich Chem. Co., Inc.* (1999) 21 Cal.4th 71, 82.) A claim is “objectively unreasonable” if any reasonable attorney would agree that it is totally and completely without merit. (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440.) It is not necessary for the moving party to show that the party presenting the deficient pleading acted with an improper motive or subjective bad faith; but the fact that a party does not actually believe in the merits of his or her claim is relevant to the issue whether sanctions are warranted in a particular case. (*Peake, supra*, 227 Cal.App.4th at 449.) In determining what sanctions, if any, should be ordered, the court shall consider whether a party seeking sanctions has exercised due diligence. (Code Civ. Proc., § 128.7, subd. (c).)

Whether to grant sanctions under section 128.7 is subject to the court’s discretion. (*Kojababian v Genuine Home Loans, Inc.* (2009) 174 Cal.App.4th 408, 420-422.) Sanctions under 128.7 are “‘made with restraint’ . . . and are not mandatory even if a claim is frivolous.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 448 [citations omitted].)

Second Amended Cross-Complaint

The operative SACC pleads causes of action for (1) breach of contract; (2) breach of contract; (3) cancellation of instruments; (4) declaratory relief; and (5) fraud.

Cross-Defendants contend each claim in the operative SACC lacks legal and factual merit.

This court ruled on the legal merit of these claims, overruling Plaintiffs’ demurrer to the SACC. (*See* ROA 206 [10/25/2023 Minute Order].) As such, the only remaining issue is the factual merit of the claims.

Lacking factual merit alone does not justify the imposition of sanctions. “[W]hen determining whether sanctions should be imposed, the issue is not merely whether the party would prevail on the underlying factual or legal argument. Instead, courts should apply an objective test of reasonableness, including whether ‘any reasonable attorney would agree that [the claim] is totally and completely without merit.’ [Citations.] Thus, the fact that a

plaintiff fails to provide a sufficient showing to overcome a demurrer or to survive summary judgment is not, in itself, enough to warrant the imposition of sanctions. [Citations.]” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 448.)

Here, Cross-Defendants do not show that the claims are “totally and completely without merit.”

First Cause of Action (Breach of Contract)

The first cause of action alleges that Cross-Defendants breached the parties’ 12/04/2019 Purchase Agreement by taking title to the Subject Property by failing to assume, refinance in their own names, or pay off the debt on the property. (SACC ¶¶ 26-29.) The SACC does not attach a copy of the 12/04/2019 Purchase Agreement, but the verified FAC attaches the parties’ purchase agreement (the “Purchase Agreement”). (FAC, Ex. 1.) The Purchase Agreement does not include an express term that Cross-Defendants assume, refinance in their own names, or pay off the debt on the property. (See FAC, Ex. 1.) Nevertheless, a reasonable attorney could argue that leaving Cross-Complainant Tran on the mortgage indefinitely deprives him of the benefits of the Purchase Contract and, therefore, breaches the implied covenant of good faith and fair dealing. (*Harm v. Frasher* (1960) 181 Cal.App.2d 405, 417 [holding that “[t]here is implied in every contract a covenant by each party not to do anything which will deprive the other parties thereto of the benefits of the contract. . . . This covenant not only imposes upon each contracting party the duty to refrain from doing anything which would render performance of the contract impossible by any act of his own, but also the duty to do everything that the contract presupposes that he will do to accomplish its purpose”]; see also *Jenkins v. JPMorgan Chase Bank, N.A.* (2013) 216 Cal.App.4th 497, 524–525, as modified (June 12, 2013) disapproved on other grounds by *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919.)

Second Cause of Action (Breach of Contract)

The second cause of action alleges that Cross-Defendants breached an agreement to assume ownership responsibility of the Sunnova solar panel system installed at the property. (SACC ¶¶ 32-36.)

Cross-Defendants do not show this claim lacks factual support. Cross-Defendants reference evidence that Cross-Complainant did not disclose the Sunnova solar panel financing (see Mot. at 13:1-2 [citing FAC ¶ 11]) and that he would continue to pay until Buyer

Truong “want[s] to change the name on the electric bill for SUN SOLAR” (Mot. at 13:8-10 [citing FAC, Exs. 15, 17]), but the cited evidence does not necessarily preclude a claim that Cross-Defendants expressly agreed to assume responsibility for the solar panel system—or a reasonable argument that the Cross-Defendants’ failing to assume responsibility breached the implied covenant of good faith and fair dealing.

Third Cause of Action (Cancellation of Instruments)

The third cause of action alleges that the Grant Deed transferring the Subject Property to Cross-Defendants is null and void. (SACC ¶¶ 39-48.) Specifically, Cross-Complainant Tran alleges he was fraudulently induced to convey the Property based on misrepresentations by Truong that while he could afford to purchase and/or refinance the property (SACC ¶ 40), he could not secure refinancing because he was not on title to the property. (SACC ¶ 42.)

Cross-Defendants contend the parties’ agreement provides for Cross-Complainant to remain on the mortgage, that he suffered no damage and never attempted to terminate the agreement. (See Mot. at pp. 14-15.) These contentions, even if true, do not preclude the claim for cancellation of instruments based on fraud.

Fourth Cause of Action (Declaratory Relief)

The fourth cause of action seeks declaratory judgment on the parties’ rights and obligations as to the Subject Property as well as under the Purchase Contract and Agreement. (SACC ¶ 53.)

Cross-Defendants contend Cross-Complainant cannot allege an actual, present controversy. (Mot. at 16:25-26.) The declaratory relief claim, however, is based on the same underlying controversies in the first three causes of action. As discuss above, Cross-Defendants do not show those causes of action lack factual merit.

Fifth Cause of Action (Fraud)

The fifth cause of action alleges that Cross-Defendants falsely promised to timely assume, refinance, or pay off the existing debt on Subject Property (SACC ¶ 59) and made false representations to induce Tran to transfer title of the Subject Property to Cross-Defendants (see SACC ¶¶ 40, 42).

		Cross-Defendants contend they have done everything required of them under the parties’ agreements—including paying Mr. Tran \$237,846.29, sending monthly checks to cover the monthly mortgage payment, all utilities, and maintenance and taxes. (Mot. at 17:26-18:10.) Cross-Defendants also contend that it was Mr. Tran whose misconduct has damaged Cross-Defendants. (Mot. at 18:11-27, 19:9-15.) These facts do not preclude a claim based on fraud based on the misrepresentations alleged in the SACC. The court DENIES Cross-Complainant’s requests monetary sanctions in the amount of \$15,000, pursuant to Code of Civil Procedure section 128.5. (Opp. at 12:1-13:12.) Cross-Complainant fails to show compliance with the safe harbor provision in Section 128.5, subdivision (f)(1)(B). The court OVERRULES Cross-Complainant’s evidentiary objections. Objections (D), (E), (F), and (G) relate to non-evidentiary “Arguments” (see Objs. at 2:18) and a purported Compendium that is not part of the court record (see Objs. at 3:1-3). Cross-Complainant to give notice.
10	FLX Lighting, Inc. vs. P.D. Electric, Inc.	1. <u>Motion for Summary Judgment and/or Adjudication</u> 2. <u>Case Management Conference</u> TENTATIVE RULING: Plaintiff FLX Lighting, Inc., moves for summary judgment in its favor and against Defendants P.D. Electric, Inc., Peter DeFilippo, and Craig DiFilippo, on the Complaint. For the following reasons, the motion is DENIED. A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (<i>Id.</i> at p. 851.) A plaintiff moving for summary judgment satisfies his or her initial burden by showing that each element of the cause of action in question has been “proved,” and hence that there is no defense thereto. (<i>Id.</i>, at p. 850.) A party cannot establish a prima facie